

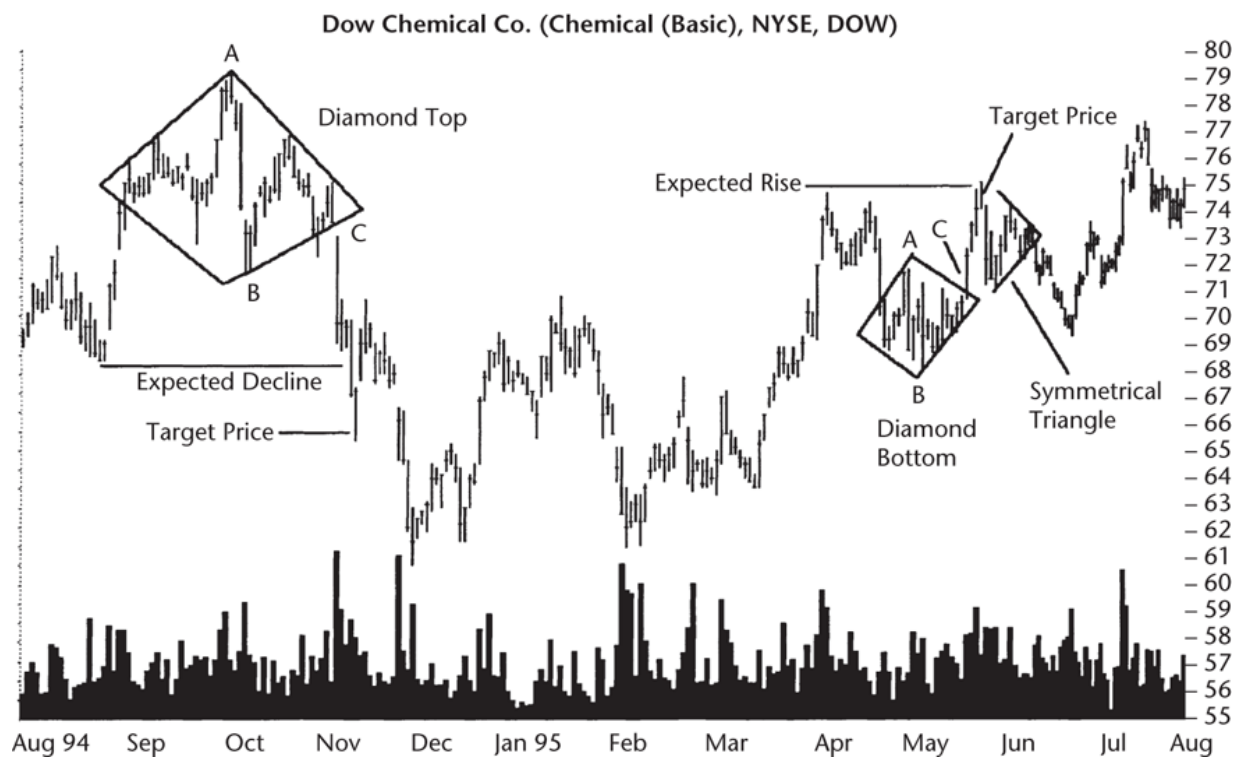


Figure 23.7 A diamond top (left) and a diamond bottom (right), both single-diagonal diamonds.

Three days later the stock closed at 75, above the target price. He dropped by the music store just to fondle knobs and flip switches of his dream machine.

Then things began going wrong. The stock closed down nearly \$3 to 72.13. It dropped to 71.38 the next day and made a lower low a day later. Suddenly, Scott was losing money, and his dream stereo was in danger of remaining on the store shelf. Should he sell the stock and put off the party for another time?

Luck was on his side and price began climbing again. Soon, it reached 74, but the honeymoon didn't last long. Price completed a symmetrical triangle but, "I didn't see it."

The stock broke out downward from the triangle. The stock even gave him another chance to get out at a profit when it attempted a pullback to the triangle boundary. "I was busy making party favors, and missed that signal, too. Am I an idiot or what?"